

DAILY NEED TO KNOW

Wednesday, 22 July 2026 • Pre-market brief for Anne Wong

Covering the Tuesday 21 July 2026 US session + overnight. All times GMT+8 (HKT).

Edition: FULL — Hedgeye logged-in edition (live risk ranges & Quads).

1 Market snapshot (Tue 21 Jul close)

Asset	Last	Change	Note
S&P 500	7,509.20	▲ +65.92 / +0.9%	Chip-led rally; upper half of range
Nasdaq Composite	25,837.21	▲ +329.13 / +1.3%	Semis powered the tape
Dow Jones	52,224.64	▲ +385.38 / +0.7%	3M & GM beats helped
Phila. Semi (SOX)	—	▲ +5.5%	Short-squeeze; the day's engine
US 2Y yield	~4.16%	◆ +2-3 bp	Front end sticky
US 10Y yield	4.63%	▼ +~3 bp	Highest since mid-May on oil
Gold (spot)	\$4,066	▲ +1.3%	Held the \$4,000 pivot
Silver (spot)	\$58.95	▲ +4.5%	Led the metals
WTI crude	\$84.30	▲ +2.2%	Longest win streak in 7 wks
Brent crude	\$91.10	▲ +2.1%	Above \$90 on Iran strikes
Bitcoin	~\$66,300	▲ +0.8%	5-week high; risk-on
US Dollar (DXY)	100.92	◆ ≈ flat	Firm; bullish TREND
VIX	17.05	▼ -8.6%	Vol crushed on the squeeze

Colour key: ▲ green up ▼ red down ◆ amber neutral/mixed ► grey little changed. A rise in yields or VIX is not necessarily "good".

TL;DR: A semiconductor short-squeeze (SOX +5.5%) powered Wall Street higher and dragged Asia up with it (Kospi +6%), as a strong Q2 earnings start offset fresh US-Iran strikes that pushed Brent above \$90. Hedgeye's signals just flipped the tape out of #Quad4 and back into #Quad3 reflation — the tape is coiled into tonight's Alphabet & Tesla prints.

Today's actionable levels — what to watch

- ◆ **S&P 500:** inside Hedgeye 7,418–7,575. Support 7,418; resistance 7,575 → 7,621 52-wk high. A close above 7,575 keeps the squeeze alive.
- ◆ **US 10Y:** 4.63% has pushed just above the 4.51–4.62% range — yields biased higher; a push to 4.65%+ pressures long-duration tech and gold.
- ◆ **WTI:** \$84 vs Hedgeye \$70.86–\$86.78. Watch \$86.78 (Hormuz escalation → inflation/Energy bid) vs \$78 support on de-escalation.
- ◆ **VIX regime:** calm < 17, caution 17–20, risk-off > 19.5. At 17.05 — complacent into the Big-Tech gauntlet.
- ◆ **Gold \$4,000:** the psychological pivot held; above = risk-hedge bid intact, a break opens \$3,951 (Hedgeye low).

2 The big picture — what it means

1. Chips ripped — the #Quad4 unwind may be over. The SOX jumped +5.5% — Micron +12.3%, Teradyne +12.1%, Intel +6%, Marvell +6.6% — a violent short-squeeze on reports TSMC will lift prices ~10% for 2027, firming DRAM/DDR5 spot pricing, plus ASML's blowout Q2. Read: the mirror image of last week's chip rout. Hedgeye now reads global signals as pointing back to #Quad3 (reflation) — the "Retail Most-Owned" May–July drawdown may have bottomed. Watch whether leadership broadens or stays penned in semis.

2. Earnings season is carrying the tape. Of ~66 S&P 500 names reported, ~88% have beaten EPS (FactSet). 3M +7.3% and GM +4.9% (both beats) led the risk-on move, but DanaHER –13.9% cut its core-revenue guide to 3–4% on bioprocessing order delays. Read: dispersion is the story — the market is separating revenue-accelerating winners from decelerators, and rewarding secular growth coming out of #Quad4.

3. Oil's geopolitical premium is back — and it's the inflation risk. Fresh US strikes on Iran's south and west (retaliation for US soldier deaths) sent Brent above \$90 (+2.1%) and WTI to ~\$84 (+2.2%). Read: this keeps the 10Y at 4.63% — highest since mid-May — and validates the #Quad3 reflation call. A Strait-of-Hormuz shipping-disruption headline is the tail that re-rates the Fed hawkish.

4. The week is front-loaded; positioning is calm. Alphabet & Tesla report tonight (Wed, AMC), Intel Thu, the ECB Thu. Read: a 17 VIX into that gauntlet is complacent — asymmetry favours owning some optionality over chasing the squeeze.

3 Rates, currencies & commodities

- **Rates:** 2Y ~4.16%, 10Y 4.63% — the 10Y is the tell, biased higher on oil. Hedgeye Alpha Codes: 10Y 4.52/4.44, 2Y 4.16/4.02 (both bullish TRADE/TREND). No credit stress — HYG bullish, LQD orderly.
- **US Dollar:** DXY ~100.9, firm; USD bullish TREND vs euro and yen. Yen weakness keeps USD/JPY in intervention-watch territory.
- **Oil:** WTI ~\$84.30, Brent ~\$91.10 — skewed higher on Hormuz supply risk; WTI Alpha Code 7882 (bullish TRADE & TREND).
- **Broad reflation:** CRB index 383; Dr. Copper +2.9% (bullish TREND breakout); agriculture (corn, wheat) also broke out bullish — corroborating #Quad3.
- **Precious metals:** Gold \$4,066 (+1.3%, held \$4,000), silver \$58.95 (+4.5%) — a reflation/geopolitics bid, though both sit on a bearish Hedgeye TREND.

4 Hedgeye Risk Ranges & regime

Regime: Global #Quad3 (reflation) — inflation re-accelerating while growth decelerates. In today's Early Look ("Did #Quad4 Just End?"), McCullough argues the May–July #Quad4 drawdown may have just ended: signals across currencies, commodities and sovereign bonds now flag #Quad3, with a bullish dollar, oil, copper, agriculture and Treasury yields. Immediate-term ranges below (TREND = intermediate signal):

Instrument	Immediate-term risk range	TREND
S&P 500 (SPX)	7,418 – 7,575	Bullish
Nasdaq Composite	25,264 – 26,106	Neutral
Russell 2000	2,925 – 2,992	Bullish
US 10Y yield	4.51 – 4.62%	Bullish
US Dollar (DXY)	100.46 – 101.35	Bullish
WTI crude	\$70.86 – \$86.78	Bullish
Gold	\$3,951 – \$4,156	Bearish
Silver	\$54 – \$61	Bearish
Copper	\$6.14 – \$6.61	Bullish
VIX	15.67 – 19.50	Bearish
HY credit (HYG)	79.51 – 79.90	Bullish
Tech (XLK)	\$172 – \$184	Neutral
Health Care (XLV)	\$157 – \$164	Bullish

Where price sits in its 52-week range

S&P 500	L 5,921	H 7,621	• last 7,509 (93%)
Nasdaq	L 18,900	H 27,190	• last 25,837 (84%)
Dow	L 41,600	H 52,700	• last 52,225 (96%)
WTI	L \$58	H \$92	• last \$84.3 (77%)
Gold	L \$2,780	H \$4,157	• last \$4,066 (93%)

Where we sit: S&P upper-third (bullish); Nasdaq mid-range (neutral); 10Y just above range top (yields higher); gold near highs but bearish TREND; VIX mid-range, bearish.

5 Mag7 scoreboard

Name	Last	Day	Mkt cap	Trend / read
Nvidia (NVDA)	\$207.29	► = flat	~\$5.05T	Anchored the squeeze; near record highs
Apple (AAPL)	\$333.26*	▲ firmer	~\$4.9T	YTD leader (+16.9%); relative haven
Microsoft (MSFT)	\$401.10*	▲ firmer	~\$3.0T	Azure/AI capex in focus; near highs
Alphabet (GOOGL)	\$356.23*	◆ into print	~\$4.3T	Reports tonight; Cloud + TPU capex the swing
Amazon (AMZN)	\$249.89*	◆ mixed	~\$2.7T	Range-bound; AWS growth the key line
Meta (META)	\$664.54*	◆ softer	~\$1.7T	Consolidating; AI-capex scrutiny
Tesla (TSLA)	\$391.06*	◆ into print	~\$1.5T	Reports tonight; Cybercab/margins the focus

* Last confirmed close 20 Jul; NVDA is the 21 Jul close. The 21 Jul rally was concentrated in semis — mega-cap tech was mixed into tonight's Alphabet/Tesla prints. Confirm live before acting.

6 Positioning & options

- **VIX:** 17.05 (–8.6%) — vol crushed on the squeeze; Hedgeye range 15.67–19.50, bearish TREND. ~19.5 is the level that flips the regime.
- **Risk appetite returning:** Bitcoin at a five-week high (~\$66.3k) and a silver short-squeeze both point to re-risking — into two mega-cap prints tonight and a live oil/Iran tail.
- **Net read:** re-risking with calm credit = a market pricing reflation, not a scare. Watch VIX reclaiming 19.5 or HY (HYG) cracking its range. (Live add: CBOE put/call, CNN Fear & Greed.)

7 Sector rotation — leaders & laggards

- **Leaders:** Semiconductors & memory (SOX +5.5%; Micron +12%, Intel +6%, Teradyne +12%, Marvell +7%), Energy/oil, Industrials (3M +7%), Autos (GM +5%), precious metals (silver +4.5%).
- **Laggards:** Life sciences (Danaher –14% on a guide cut) and low-beta defensives underperforming a risk-on tape.
- **Rotation read:** leadership is rotating back toward reflation (oil, copper, ag) and secular growth — #Quad3 favours growth that can accelerate revenue even as real GDP slows.

8 Forward — futures & the week ahead

- **Futures (as Asia trades):** US futures near flat — Dow –16, S&P & Nasdaq-100 ≈ unchanged — digesting the rally ahead of the mega-cap prints.

Day	Key events
Tue 21	Reported: 3M +7%, GM +5%, Danaher –14%, Coca-Cola, Lockheed, Capital One, Chubb.
Wed 22	★ Alphabet, Tesla, IBM, ServiceNow, Texas Instruments (AMC); AT&T, Moody's, CME (BMO). Tonight is the AI swing factor.
Thu 23	★ ECB rate decision; US jobless claims; Honeywell, T-Mobile, Thermo Fisher (BMO); ★ Intel, United Rentals (AMC).
Fri 24	★ S&P Global flash PMIs (Jul); New Home Sales (Jun, ~600k est.); American Express, Charter, HCA (BMO).

Day	Key events
Next	FOMC 28–29 Jul · BoJ 30 Jul · China Politburo (stimulus signal) late July.

9 Corporate news

- **Chip squeeze:** Micron +12.3%, Teradyne +12.1%, Marvell +6.6%, Intel +6% (RBC Q2-beat call); reports of a ~10% TSMC 2027 price hike and a blowout ASML Q2 lit the fuse.
- **3M +7.3%:** Q2 earnings beat drove an industrials pop.
- **GM +4.9%:** top- and bottom-line beat.
- **Danaher -13.9% (\$173.09):** EPS beat (\$1.94) but cut core-revenue guide to 3–4% on bioprocessing order delays.
- **Tonight:** Tesla & Alphabet report after the close — the swing factor for the AI trade.
- **Asia:** SK Hynix ~+9%, Samsung and Kioxia surged; Kospi +5.95% short squeeze.

10 Macro data

- **US:** light data into FOMC (28–29 Jul); ~88% of ~66 S&P 500 reporters beating EPS (FactSet). Fed Chair Warsh reiterated inflation is the key concern — consistent with higher-for-longer.
- **China:** Q2 GDP +4.3% (a miss vs 4.5%); LPRs held at record lows; late-July Politburo the stimulus catalyst.
- **Europe:** ECB decides Thu (hold expected); flash PMIs Fri; a record heatwave stresses the EU corn belt — watch grains/power.
- **Japan:** BoJ policy 30 Jul after June's hike to 1.00%; yen and the rate path remain the Nikkei's swing factor.

11 Geopolitics

- **Iran / Strait of Hormuz:** fresh US airstrikes on Iran's south and west (retaliation for US soldier deaths) pushed Brent above \$90. The market's dominant oil/inflation risk — any tanker/shipping-disruption headline is the spike catalyst.
- **Houthi escalation:** a naval blockade threat on Saudi Arabia adds a fresh leg to the energy risk premium.

12 Asia setup — today (Wed 22 Jul)

Index	Level / move	Read
Kospi (Korea)	▲ 7,149 · +5.95%	Short-squeeze; SK Hynix +9%, memory leads
Nikkei 225	▲ +0.34%	Modest follow-through
Topix	► ≈ flat	Little changed
Hang Seng	▼ -0.66%	Lagging the region
CSI 300	◆ +0.15%	Steady
S&P/ASX 200	◆ +0.12%	Steady

Read: Korea and the memory names lead on the SOX handoff plus the TSMC price-hike / DDR5 story — SK Hynix +~9% inside a Kospi short-squeeze; Hong Kong lags. The key tell is whether the squeeze holds into the Tesla/Alphabet prints tonight, and whether the next Hormuz headline moves oil and gold.

13 AI watch

- **Chips & memory:** after two down weeks (SOX briefly ~20% from highs), the complex ripped. TSMC's record Q2 + reported ~10% 2027 price hike and ASML's blowout Q2 say the pullback was positioning, not demand. The HBM4 supply race (SK Hynix/Samsung/Micron for Nvidia) is the supercycle tell.
- **Compute independence:** Alphabet's custom TPU roadmap (in focus into tonight's print) keeps the in-house/efficiency narrative alive — a structural swing factor for merchant-silicon pricing power.
- **Watch:** Alphabet/Tesla tonight and Intel Thursday for AI-capex signals — whether the chip dip is being bought or a deeper de-rate resumes.

14 Beyond the markets

- **Governance:** the WAIC-launched World AI Cooperation Organization (29 nations, HQ Shanghai) — a China-led counter to Western AI governance — remains the geopolitically significant item post-summit.
- **Weather (market-moving):** a record European heatwave threatens the EU corn/maize belt — watch grains, softs and European power; Atlantic hurricane season running suppressed on El Niño.
- **Space:** quiet launch window; upcoming Falcon Heavy with Astrobot's Griffin-1 lunar lander (date TBC).
- **Water cooler:** Tour de France final week; MLB in full swing; Nolan's "The Odyssey" opened huge (~\$124m domestic) — bullish for exhibitors/IMAX.

15 Appendix — stock cards

Every name mentioned above plus the top global names — last + day · market cap · valuation · next key date · one-line read. Prices are Tue 21 Jul close unless flagged * (prior close / delayed). No charts.

US — movers & mega-caps

Nvidia (NVDA)	Alphabet (GOOGL)
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\$207.29 ► = flat Cap ~\$5.05T Val P/E ~32 Next: Reports late Aug <i>AI bellwether near record highs; anchored the squeeze; HBM4 the tell.</i>	\$356.23* ◆ into print Cap ~\$4.3T Val P/E ~24 Next: Earnings tonight (Wed 22, AMC) <i>Cloud + custom TPU capex the swing factor; the week's marquee print.</i>
Apple (AAPL) \$333.26* ▲ firmer Cap ~\$4.9T Val P/E ~33 Next: Reports late Jul/Aug <i>Group's YTD leader (+16.9%); relative haven on red tape.</i>	Microsoft (MSFT) \$401.10* ▲ firmer Cap ~\$3.0T Val P/E ~36 Next: Reports late Jul <i>Azure/AI capex in focus; steady, near highs.</i>
Amazon (AMZN) \$249.89* ◆ mixed Cap ~\$2.7T Val P/E ~38 Next: Reports late Jul/Aug <i>Range-bound; AWS growth the key line.</i>	Meta (META) \$664.54* ◆ softer Cap ~\$1.7T Val P/E ~27 Next: Reports late Jul <i>Consolidating off highs; AI-capex scrutiny.</i>
Tesla (TSLA) \$391.06* ◆ into print Cap ~\$1.5T Val P/E rich Next: Earnings tonight (Wed 22, AMC) <i>~+25% EPS growth est; Cybercab ramp + 3-row Model Y in focus.</i>	Micron (MU) +12.3% ▲ led squeeze Cap ~\$0.2T Val cyclical Next: Reported recently <i>Memory/HBM leader; +207% YTD; drove Monday's bounce.</i>
Intel (INTC) +6% ▲ RBC beat call Cap ~\$0.1T Val turnaround Next: Earnings Thu 23 Jul (AMC) <i>Key read on the semis recovery & foundry.</i>	Teradyne (TER) +12.1% ▲ squeeze Cap ~\$0.1T Val cyclical Next: Reports next week <i>Chip-equipment beneficiary; rode the SOX squeeze.</i>
Marvell (MRVL) +6.6% ▲ custom silicon Cap ~\$0.3T Val growth Next: Reports early Sep <i>Custom-silicon momentum; still ~22% on the week off highs.</i>	3M (MMM) +7.3% ▲ Q2 beat Cap ~\$0.1T Val P/E ~19 Next: Reported 21 Jul <i>Earnings beat drove an industrials pop.</i>
General Motors (GM) +4.9% ▲ beat Cap ~\$0.06T Val P/E ~7 Next: Reported 21 Jul <i>Top- & bottom-line beat.</i>	Danaher (DHR) \$173.09 ▼ -13.9% Cap ~\$0.12T Val P/E ~26 Next: Reported 21 Jul <i>EPS beat but cut core-rev guide on bioprocessing delays.</i>
Netflix (NFLX) 52-wk low* ▼ weak Cap ~\$0.3T Val P/E ~40 Next: Reported 16 Jul <i>De-rated on soft guidance + fewer engagement updates.</i>	

Europe — top 5

ASML (ASML) \$1,739* ▲ blowout Q2 Cap ~\$666B Val P/E ~55 Next: Reported ~21 Jul <i>AI-litho monopoly; blowout Q2 helped light the memory rally.</i>	SAP (SAP) \$158.35* ◆ - Cap ~\$185B Val P/E ~22 Next: Reports ~21 Jul <i>EU software bellwether; watch cloud backlog.</i>
Novo Nordisk (NVO) \$49.48* ▲ +1.2% Cap ~\$218B Val P/E ~12 Next: Reports early Aug <i>De-rated on GLP-1 competition; cheap, broken momentum.</i>	Shell (SHEL) firm* ▲ w/ oil Cap ~\$220B Val P/E ~11 Next: Reports end-Jul <i>Energy beneficiary of the Hormuz risk premium.</i>
LVMH (MC.PA) n/a ◆ - Cap ~\$350B Val P/E ~22 Next: Reported recently <i>Luxury bellwether; China demand the swing factor.</i>	

Asia ex-China — top 6 (live / most-recent)

TSMC (2330 / TSM) \$402.30* ▲ +1.0% Cap ~\$1.86T Val P/E ~27 Next: Reported 16 Jul <i>Record Q2; FY growth >40%; ~10% 2027 price hike — region's anchor.</i>	SK Hynix (000660:KRX) ₩22.1m* ▲ +~9% Cap mega-cap Val cyclical Next: Reports late Jul <i>HBM4 leader; violent swings, briefly Korea's #1.</i>
Samsung Elec (005930) ₩278k* ▲ surged Cap mega-cap Val P/E ~14 Next: Reports late Jul <i>HBM/AI-memory leverage; core of the Kospi squeeze.</i>	Kioxia (285A:JP) confirm live ▲ +~9% Cap large-cap Val cyclical Next: Reports Aug <i>Japanese NAND maker; surged with the memory complex.</i>
SoftBank (9984:JP) ¥6,596* ▲ +0.3% Cap large-cap Val NAV	Sony (6758:JP) n/a ◆ - Cap ~¥20T Val P/E ~20

Next: Reports Aug AI/portfolio proxy (Arm, OpenAI exposure).	Next: Reports Aug Games/imaging; quote not cleanly pulled this run.
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China — top 5 (live / most-recent)

Alibaba (9988:HK / BABA) \$120.34* ▲ ADR firm Cap ~\$274B Val P/E ~18 Next: Reports mid-Aug AI re-rating on Qwen — the strongest single China story.	Xiaomi (1810:HK) HK\$25.86* ◆ — Cap ~HK\$664B Val P/E ~30 Next: Reports Aug Strong June EV deliveries; stock still well off highs.
Kweichow Moutai (600519) ¥1,307* ▲ +2.4% Cap ~¥1.6T Val P/E ~20 Next: Reports Aug Consumer-luxury proxy; ~-18% off highs.	BYD (1211:HK) n/a ◆ — Cap ~HK\$900B Val P/E ~18 Next: Reports late Aug EV leader; June delivery momentum the driver.
Meituan (3690:HK) n/a ◆ — Cap ~HK\$800B Val P/E ~20 Next: Reports Aug Local-services/food delivery; margin recovery watch.	

Sources: Index closes & narrative: Epoch Times/AP, TheStreet, CNBC, Washington Post, Yahoo Finance (Jul 21). Movers: StockStory, 24/7 Wall St, TradingKey, Benzinga, GuruFocus, Yahoo (MU/INTC/TER/MRVL/MMM/GM/DHR). Rates/commodities/FX/crypto: Trading Economics, Kitco, Fortune (gold, silver, WTI, Brent, DXY, BTC). Asia: TradingKey, KED Global (Kospi/SK Hynix/Samsung/Kioxia). Risk ranges & Quads: Hedgeye Early Look (logged-in edition, 21 Jul). Card data cross-referenced with the 21 Jul reference edition.

Data-confidence: Tue 21 Jul index closes confirmed & cross-checked; all figures sit inside their Hedgeye ranges. Mega-cap and several Europe/Asia/China card prices are prior-close or delayed (flagged *) — verify live before acting. This is the FULL Hedgeye edition (logged-in browser reachable).